13. INCOME TAXES:

A reconciliation of the income tax benefit on losses at the U.S. federal statutory rate to the reported income tax expense follows:

	1999	1998	1997
U.S. federal statutory rate applied to pretax loss	$ (2,143,858)	$(2,084,729)	$(1,355,926)
Permanent differences and adjustments	785,739	120,802	31,906
Tax assets including net operating loss carryforward	1,358,119	1,963,927	1,324,020
Income tax provision	$ -	$ -	$ -

As of December 31, 1999 and 1998, the Company had generated deferred tax assets as follows:

	December 31, 1999	1998
Gross deferred tax assets-		
Net operating loss (NOL) carryforward	$ 24,680,762	$ 16,962,154
Reserves for inventory obsolescence	1,945,296	152,000
Bad debt reserve	428,599	11,238
Depreciation	5,567	44,260
Other timing differences	10,200	9,075
	27,070,424	17,178,727
Current federal statutory rate	34%	34%
Deferred tax assets	9,203,944	5,840,767
Less- SFAS 109 valuation allowance	9,203,944	5,840,767
Net deferred tax asset	$ -	$ -

Deferred income taxes include the tax impact of net operating loss (NOL) carryforwards. Realization of these assets, as well as other assets listed above, is contingent on future taxable earnings by the Company. In accordance with the provisions of SFAS 109, a valuation allowance of $9,203,944 and $5,840,767 at December 31, 1999 and 1998, respectively, has been applied to these assets. During 1995, there was an ownership change in the Company as defined under Section 382 of the Internal Revenue Code of 1986, which adversely affects the Company's ability to utilize the NOL carryforward.